Project 1 Validation and AI Use Record

Decision version and boundary

Target: NIKE, Inc. (NYSE: NKE)
Decision: Watch/defer a new 12-month position.
As-of boundary: FY2026 Form 10-K filed July 15, 2026; September 2, 2026 regular-session close of $38.24.
Reproducible run: python3 scripts/project1_summary.py; no third-party package, credential, or live request is required.

Data and convention ledger

Material input	Source	As-of	Definition and treatment	Risk
Revenue	FY2026 10-K, income statement	May 31, 2026	$46,398m historical forecast base	Recovery differs from reported results.
Cash and short-term investments	FY2026 10-K, balance sheet	May 31, 2026	$9,027m; added in enterprise-to-equity bridge	Some cash may be operational.
Debt	FY2026 10-K, Note 6	May 31, 2026	$7,942m current plus long-term debt; subtracted in bridge	Book and market values may differ.
Diluted shares	FY2026 10-K, Note 10	FY2026	1,481.0m weighted-average shares used for modeled per-share values	Different from point-in-time shares outstanding.
Market price	Historical price tables, cross-checked	Sep. 2, 2026	$38.24 regular-session close	Non-primary market-data source; outside the filing date.

Validation register

Claim or output	Failure mode	Test and expected direction	Actual result	Disposition
Linked pro-forma	Accounting identity fails	Assets less liabilities and equity must equal zero each forecast year.	0.0 in FY2027-FY2031.	Pass.
Refusal control	Model values an unbalanced statement	Force FY2027 cash to opening cash; model should refuse.	Raises ValueError with a $757.2m gap.	Pass.
Sensitivity isolation	Inputs contaminate the base case	Rerun base after all cases; outputs should match initial base.	FY2031 EBIT $4,965.0m, FCFE $2,984.5m, value $30.19 both times.	Pass.
Market bridge	Share convention hides a mismatch	Point-in-time shares should approximate market price; weighted-average shares may differ.	$39.13 bridge cross-check versus $39.06 August 31 close.	Pass with convention difference disclosed.
Valuation range	One method creates false precision	Preserve differing methods rather than average them.	FCFE base $30.19, FCFF recovery $48.53, comps median $45.55.	Range set at $30-$49; no mechanical average.

Locked changed-input record preserved from the pre-run sensitivity evidence

This record is preserved from sensitivity_0929_NKE.md; it is not recreated after the fact. The document records a pre-run timestamp of 2026-09-29T14:10:45-04:00 and a baseline commit identifier of 41f5beb. That identifier is retained as historical evidence even though it is not available in the current cloned history.

| Precommit time | Material input | Old to new value | Human prediction before run | Expected decision effect |
| 2026-09-29T14:10:45-04:00 | Gross-margin trajectory | Base to +1.0 percentage point in every forecast year | EBIT, FCFE, and value should rise; FY2031 FCFE was expected to rise about $107m and value about $1.07 per share because no additional working capital or capex is required. | Support the recovery case but not remove the need for conditions. |

| Before/after output | Actual decision effect | Reconciliation | Evidence |
| FY2031 EBIT $4,965.0m to $5,093.6m; FY2031 FCFE $2,984.5m to $3,091.6m; value $30.19 to $31.26. | No action change: watch/defer remains. | Direction and expected FCFE/value magnitude matched the preserved prediction. | ../sensitivity_0929_NKE.md, Locked Changed-Input Record and sensitivity table. |

Named AI-use register

Tool/model surface	Interaction date	Material task	Independent check	Disposition and effect
Codex / GPT-5	Sep.-Oct. 2026	Organize filing facts, create draft documentation, and surface model-check ideas.	FY2026 10-K, source ledger, arithmetic, and executable model results.	Modified/accepted only where reconciled; supports documentation, not the decision by itself.
Web research through Codex	Sep. 2026	Locate primary filing and historical-price references.	SEC filing is primary; price was cross-checked.	Accepted with the stated as-of boundary.

Limitations and monitoring

Do not initiate until the $36.40 price trigger or reported recovery evidence is met. Re-run the analysis after each quarterly filing. Escalate if NIKE Direct or Greater China weakens, if EBIT-margin recovery lags the model, or if the cash classification changes.